MODULE 02 · CASE STUDY 11 · PRE-READ FOR CLASS 11

The Broker Who Was His Own Customer

How a trader who was tired of being overcharged built India's most profitable startup without taking a single rupee of outside money

READ THIS BEFORE CLASS

This is the longest case you have been given, and it is deliberately the longest. It is also the last one of this module, which means you already own every idea you need to read it well. Read it once, slowly, with a pen in your hand.

There is nothing to memorise. No definitions, no frameworks, no terms that will be tested. There is one calculation in Section 4 that you are asked to do yourself and bring with you, and that is the only homework in here. Everything else is a company, the decisions one man made, and the numbers those decisions produced.

15–20	8	5
Minutes to read	Sections	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

THE CASE

The Broker Who Was His Own Customer

Zerodha, Bengaluru, 2010 onwards

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

Read this one differently from the others. In every previous case you were meeting an idea for the first time. Here you already have the ideas, and the exercise is to spot them at work. So read with a pencil: every time something in the story is clearly an example of something you have been taught in an earlier class, write that class number in the margin. By the end you should have fifteen or twenty numbers running down the side of the page. That page is your working notes, and the class opens by building it on the board together.

Pay particular attention to Section 4. There is an arithmetic exercise in it that you are asked to do before you arrive, and the rest of the class is built on the two numbers it produces.

1 What It Actually Cost to Trade in India Before 2010

Start with a fact that sounds boring and is not. Before 2010, if you wanted to buy or sell shares in India, you went through a brokerage — ICICI Direct, HDFC Securities, Sharekhan, Kotak Securities and a few dozen smaller firms — and almost all of them charged you the same way: a percentage of the value of what you traded. The typical number was around half a per cent, sometimes more, sometimes a little less if you negotiated hard and traded a lot.

A percentage sounds fair. That is exactly why nobody questioned it for twenty years. It feels proportionate: a big trade costs more, a small trade costs less, and everybody pays according to their size. Now do the arithmetic, because the arithmetic is where the whole business hides. If you buy ₹1,00,000 of shares and the brokerage is 0.5%, you pay ₹500. If you sell them the same afternoon, you pay ₹500 again. That is ₹1,000 for one round trip, on which you have made no money yet. To simply break even, the share price now has to move roughly 1% in your favour, before any tax.

For someone buying shares once a year and holding them for a decade, that ₹1,000 is trivial, an annoyance spread thin over ten years. For someone doing fifteen round trips a day, it is not an annoyance. It is the business. Fifteen round trips at ₹1,000 each is ₹15,000 a day, ₹3,00,000 a month, more than ₹35 lakh a year, paid by one person, before they have made a single rupee of profit.

> *That customer is not paying a fee. That customer is working for the brokerage.*

Now look at the second half of the problem, which was the software. The trading platforms of the time were built by large banks as an add-on to a banking relationship, and they behaved like it. They were slow. They logged you out. They were designed around the idea that a customer opens the platform occasionally, places one order and closes it — which is a fair description of an investor and a completely wrong description of a trader. If you were placing orders continuously through a volatile hour, a platform that took four seconds to respond was not an inconvenience. It was a financial loss with a specific rupee value that you could feel each time it happened.

And the third piece, which people who were not there tend to underestimate: how these firms treated the person doing this. A retail trader placing twenty orders a day was, to a large bank's brokerage arm, a nuisance. He generated support calls. He complained about latency. He asked technical questions the relationship manager could not answer, because the relationship manager had been trained to sell mutual funds to salaried customers. The industry's actual view of its highest-frequency customer was that he was a problem to be managed rather than a customer to be served. And every one of those firms had far more money, far more brand and far more distribution than the company that was about to take that customer away from them.

2 Nithin Kamath: The Founder Who Was Already the Customer

Nithin Kamath started trading while he was in college in Bengaluru, in the late 1990s, on his own account and with borrowed money. He was not a finance graduate and he did not come from a business family. He lost money, made it back, lost it again — the ordinary and unglamorous education of anybody who trades for long enough — and at one point took a job at a call centre to fund the losses while continuing to trade at night. By his mid-twenties he was managing money for other people, and by 2010 he had spent roughly a decade as exactly the kind of customer the industry found irritating.

It is worth being careful about what that decade did and did not give him, because this is the part students usually get wrong. It did not give him the idea. Plenty of people had the idea that brokerage was too expensive; it was the single most common complaint in every trading forum in India, and none of those people started Zerodha. Traders complained about a great many things: fees, platform speed, margin rules, support, research quality, the interface, the mobile app. If you had run a survey you would have got all of them back with roughly similar scores, and you would have built a slightly better version of everything.

> **HOLD THIS THOUGHT**
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> Seven complaints, all real, all scoring about the same on a survey. Before you read on, decide which one you would have fixed first, and be specific about why that one. The rest of the case is what happens to a company that chose correctly, and the opening ten minutes of the class are about how a person could possibly know which to choose.

Zerodha was founded in August 2010 by Nithin and his brother Nikhil. The name is a compound of the English 'zero' and the Sanskrit 'rodha', meaning barrier or obstruction: zero barriers. Notice that the name describes a customer feeling rather than a product category, which is unusual and tells you something about what the founders thought they were building.

One more thing about the founding, and it will matter enormously by the time you reach the numbers: they never raised venture capital. Not in 2010, not later, not at any point. The company was funded out of its own cash flows from the beginning and remains owned by the family. Hold that fact in mind while you read about the product decisions, because a company that has taken outside money and a company that has not are under different pressures, and several of Zerodha's most distinctive decisions are only affordable if nobody is asking you to grow faster than the customer wants you to.

3 The Customer Nobody Was Building For

Write down the customer Zerodha chose, because the precision of it is worth copying. Not 'people who invest'. Not 'retail customers'. The serious retail trader: somewhere between his late twenties and his forties, technically comfortable, trading either as a substantial second income or as his main occupation, executing anywhere from a

handful to several dozen trades in a day, acutely aware of costs because costs came out of a margin he could calculate, interested in getting better at it rather than just getting rich from it, and — this is the part most firms missed — willing to pay for things that genuinely helped him improve, while refusing to pay for things that did not.

Compare that with the customer every incumbent was actually serving. The incumbent's customer was a salaried professional with a bank account at the same institution, who invested a few times a year, wanted advice, valued the reassurance of a large brand, and did not do the arithmetic on brokerage because the amounts were small relative to how rarely he traded. That is a perfectly good customer. It is also a completely different person, and every product decision that suits him actively harms the trader: the advice he values is noise to the trader, the relationship manager he finds reassuring is an obstacle, the percentage fee he barely notices is the trader's largest cost line.

Put the two of them on paper and the distance between them is easier to see than it was to see in 2010, when both of them looked, on a brokerage account-opening form, like exactly the same thing.

	The incumbent's customer	Zerodha's customer
Who he is	A salaried professional, banking at the same institution	A serious retail trader, late twenties to forties, technically comfortable
How often he trades	A few times a year	A handful to several dozen times a day
What he wants from you	Advice, reassurance, a large brand, somebody to call	Speed, low cost, and to be left alone
What brokerage costs him	An amount so small relative to how rarely he trades that he has never worked it out	His single largest cost line, and one he can calculate to the rupee
A relationship manager is	Reassuring	An obstacle

Zerodha did not pick the biggest available group of people. It picked a smaller one, and it is worth asking as you read what a smaller group had going for it — how painful the situation was, how easily those people could switch, and whether they talked to each other. Traders spend a great deal of time in forums and groups. Occasional investors spend none.

It is also worth naming who Zerodha deliberately chose to serve badly, because choosing a customer is also choosing who you will disappoint. Zerodha offered no advice and no research recommendations. It had no relationship managers. It did not call you when the market fell. For a nervous first-time investor with ₹40,000 to put somewhere, that is a bad product, and Zerodha was entirely willing for it to be a bad product for that person, for years, while the incumbents kept serving him.

4 The ₹20, and the Arithmetic You Are Asked to Do

Zerodha launched with a flat fee: a maximum of ₹20 per executed order, regardless of the size of the order. Equity delivery — buying shares and holding them rather than selling the same day — was made free entirely.

Nothing about this was technically difficult. Any of the incumbents could have done it in a quarter. What stopped them was that it would have destroyed their existing revenue, which is the ordinary reason large firms do not do

obvious things, and it is worth saying plainly: the incumbents were not stupid. They were correctly protecting a business that this decision would have wrecked.

> **DO THIS BEFORE CLASS, ON PAPER**
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> Two customers. One decision. Work out what the ₹20 flat fee is worth to each of them, in rupees, and bring both numbers written down.
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> **Customer A, the serious trader.** Fifteen round trips a day, ₹1,00,000 a trade, 250 trading days a year. What did he pay per day under a 0.5% percentage fee? What does he pay per day under a flat ₹20 per executed order — remembering that a round trip is two orders, a buy and a sell? What is the difference over a year?
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> **Customer B, the monthly investor.** A 23-year-old buying ₹5,000 of shares once a month and holding them. What did she pay per purchase under 0.5%? What does she pay under Zerodha, given that delivery is free? What is the difference over a year?
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> Do not look these up and do not round them away. The two numbers you get are the material the class works with, and the gap between them is the whole point of the session. If your arithmetic is wrong, that is fine and it will be corrected in the room. Arriving without having done it is the thing that does not work.

One consequence of the flat fee is worth noting now, because it shaped the entire business. A percentage fee grows automatically as customers get richer and trade bigger. A flat fee does not. It means the only way Zerodha can grow revenue is more orders — more customers, or more activity per customer — which forces the company to care about a number that most brokerages barely tracked: how many of their customers are still actually trading. Keep an eye on what that does to the rest of the story.

5 Kite, Coin and Console

Kite is Zerodha's trading platform, and it is still widely regarded as the best in India more than a decade after launch. What makes it good is almost entirely subtraction. It is fast, it is visually plain, it loads on a bad connection, it has keyboard shortcuts for the actions a trader repeats hundreds of times a day, and it does not carry advertisements, news tickers, research banners or upsell modules.

Look at the decisions in that sentence and ask where each of them came from. They did not come from the same place the fee came from. Ask a trader what he wants in a platform and you will get a list of indicators and chart types. Sit beside a trader for an hour and you will notice that he does the same four things over and over, and that everything else on the screen is in his way. Kite is what you build if you have watched rather than asked.

Coin, launched later, let customers buy mutual funds directly, without the commissions that were built into the way mutual funds were normally sold in India, where a distributor earned a trailing cut of the customer's money every year for the life of the investment. Console is the back office: the place where a customer sees their holdings, their profit and loss, and — notably — a clear statement of what everything cost them.

Note how strange that last one is. Most financial businesses present costs as unavoidably as possible and as late as possible. Zerodha built a screen whose purpose is to make its own charges obvious. Work out for yourself why a company would do that, and whether it is generosity.

Here is a list worth staring at. Zerodha said no to advice, no to research calls, no to relationship managers, no to a commissioned sales force, no to heavy advertising, and for many years no to anything that would have made the

platform friendlier to a beginner. Every one of those refusals cost them customers and cost them revenue that their competitors were happily collecting. The class will ask what made each refusal affordable.

6 Varsity

Varsity is Zerodha's education platform: a long, structured, genuinely well-written set of modules on markets, trading and investing, available free, with no requirement to be a Zerodha customer to read it. It has since grown into videos, live sessions, and versions in Hindi and other Indian languages. It is one of the most-read pieces of financial education in the country, and for a long time it was better than anything the paid education market was selling.

Ask the obvious question first, because you will be asked it in the room: why would a brokerage spend years writing free educational material that helps people whether or not they are customers? The commercially convenient answer is that it is marketing, and there is truth in it. A person who learns to trade from your material is likely to trade with you. But hold that answer lightly, because it does not explain everything about how Varsity was built.

Go back to the customer portrait in Section 3, and specifically to this phrase: *interested in getting better at it rather than just getting rich from it*. Then notice what Varsity is not. It is not a paid course. It is not gated behind an account. It does not push Zerodha products in its text. Each of those three would have raised short-term returns, and each of them was refused.

> **WORTH PAUSING ON**
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> The ₹20 fee and Varsity are both decisions made for the same customer by the same company, and they are not the same kind of decision at all. One of them made people switch brokers within a month. The other one, as far as anybody can tell, has never made a single person switch brokers. Before you read on, try to say in one sentence what each of them is actually for.

7 The Numbers: What This Was Worth, and What Happened Next

Two definitions before the figures, because both get used loosely. **Profit after tax**, or PAT, is what the owners keep after every cost including tax. **Net margin** is PAT divided by revenue: out of every ₹100 the business took in, how many rupees did it keep? For context as you read, a good, well-run Indian consumer business might keep ₹8 to ₹12 out of every ₹100. Hold that number.

In FY24 Zerodha reported revenue of about ₹8,320 crore and profit of roughly ₹4,700 crore, a rise of about 61% on the previous year. Do the division. The company was holding more than ₹5.66 lakh crore of customer assets in demat accounts, and had around 7.5 million active registered clients on the NSE, making it one of the two largest brokers in the country. It employed a few thousand people, spent famously little on advertising, and had never taken a rupee of venture capital. Nithin Kamath has also noted that the company's own net worth exceeds 40% of the customer funds it holds, an unusual and deliberately conservative position for a broker, and itself a decision that only a company with no outside investors can comfortably make.

Put the margin next to the funding history. Zerodha entered a market containing ICICI, HDFC, Kotak and Sharekhan — firms with more capital, more brand, more branches and more customers — and beat them, without raising money.

Now the part that makes this a real case rather than a hagiography, and do not skip it. In FY25 both revenue and profit fell. Profit came down to roughly ₹4,240 crore, the company's first decline. The cause was not a competitor and not a customer walking away. It was regulation: SEBI introduced a series of measures on index derivatives, along with changes to how brokers could charge and to the taxation of transactions, and trading volumes in the segment

that produced much of Zerodha's revenue fell sharply. Kamath had publicly warned about exactly this for over a year before it happened, and the company had begun deliberately building revenue lines away from derivatives — margin funding, a mutual fund business, insurance, lending against securities.

That decline is not a footnote and the class will spend real time on it. A company can be entirely right about its customer and still lose a year, and it is worth deciding in advance what you think that means.

8 The Question This Case Sets Up

ICICI, HDFC, Kotak and Sharekhan had more capital than Zerodha, more brand than Zerodha, more branches, more staff, larger technology budgets, and millions more customers. Every advantage that is normally decisive in a financial services market sat on their side of the table in 2010.

A company that never raised a rupee took the most valuable customer segment in that market away from all four of them.

That is where the class opens. Not 'how did Zerodha grow' — that is a question about execution. The question is narrower and much harder: **what did Zerodha have that four banks did not?** Come with an answer you are willing to defend, and be warned that the three answers the room reaches for first are all outcomes rather than reasons.

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
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> Spend twenty minutes on these. Write your answers down, a line or two each. They will not be collected or graded, but you will be asked for them out loud, and 'I didn't think about it' is a much worse position to be in than a wrong answer.
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> There are no model answers at the back of this document. That is deliberate.

1. **The two numbers from Section 4.** Bring them written down: what the flat ₹20 fee saves the serious trader in a year, and what it saves the monthly investor in a year. Then answer this in one sentence — if you were the 23-year-old investor and somebody explained Zerodha's pricing to you carefully, what would you feel?

2. **Traders complained about seven things and they all scored about the same.** Name the one you would have fixed first and say what test you used to choose it. Then say what would have happened to a company that fixed the second-most-complained-about thing instead.

3. **The ₹20 fee and Varsity were built for the same customer by the same company.** Describe the difference between them in your own words, without using the word 'marketing'. Which of the two would you have built first, and why that order?

4. **Take your own last month.** Name one thing you pay for where the price is a percentage of something rather than a flat amount — a commission, a fee, a cut, a charge on an app. Work out roughly what you paid. Then work out what you would have paid if it had been a flat fee, and decide whether you would switch.

5. **Nithin Kamath understood the serious retail trader better than anyone in India, because he had been one for ten years.** Now imagine the company wants to build something for a 23-year-old woman opening her first investment account with ₹5,000, who will probably never become a trader. Make the argument that Kamath is the best person in India to design that product. Then make the argument that he is one of the worst. Decide which argument you actually believe.

Come with your five answers, your two numbers from Section 4, and one genuine disagreement. This case is written admiringly and that is a reason to be suspicious of it. If some part of the story struck you as exaggerated, or unfair to the banks, or as leaving something out, say so out loud — those are usually the most useful ten minutes of the class.